What Just Happened to Politics in the South?

Podcast: Wall street journal

AI Executive Summary

1. **Core Thesis** This episode analyzes a historic midterm election shift where Democrats dismantled decades of Republican dominance in the Southern United States. By focusing on economic grievancesâ€”specifically tariffs, rising gas prices, and the impact of data centersâ€”the new Democratic leadership successfully pivoted away from culture-war tactics to offer a centrist affordability platform, effectively cracking the 'Solid South' despite ongoing uncertainty about long-term permanence and the potential for Republican counter-reaction.

2. **Key Arguments & Data**

3. **Election Results:** Democrats achieved a "sweeping away" of the Republican Party in the South. Key wins include Democratic Senator-elect John Ossoff (GA), Governor Keisha Lance Bottoms (GA), Secretary of State, Attorney General, Lieutenant Governor, and other key executive positions. Republicans suffered a wipeout across major state ballots in Georgia, North Carolina, Texas, and South Carolina, and face a possible upset in Mississippi.
4. **The Economic Pivot:** The Republican "Solid South" strategy relied on welcoming corporations via low taxes and tax incentives. This model has faltered due to federal policies: Trump's tariffs hurt agriculture; the Iran war drove up gas prices (hurting rural truckers); and land use conflicts regarding AI data centers caused unrest in previously accepting rural areas.
5. **Strategic Messaging Shift:** Democrats abandoned culture-war issues in their favor, running on a centrist platform of "make stuff cost less," expanding Medicaid, increasing education, and lowering costs. Contrastingly, Republicans relied on abject fealty to Donald Trump; the loss of working-class/rural voters indicates they are viewed as serving only "country clubs and big business."
6. **Demographic Shifts:** The South is experiencing rapid growth in diversity (Black, Hispanic, Asian populations). These demographics are awakening politically, creating a new coalition factor. Texas is

cited as the prime example, alongside growing populations in Georgia and North Carolina.

7. **Future Political Dynamics:** With no longer able to rely on Trump or "solid" Republican support, Democrats will have to fight for the South, but Republicans must also compete massively for these rural voters. This makes the region a primary battleground for 2028 presidential elections and federal governance dynamics.

8. **Actionable Takeaways**

9. **Monitor Policy Implementation:** Watch for immediate state-level policy changes in Democratic-led states (GA, NC, SC), specifically regarding moratoriums on new data centers and potential expansions of Medicaid to understand the shift from business-friendly incentives to social safety net priorities.
10. **Track Economic Indicators:** Keep an eye on local cost of living indices and fuel prices, as these were cited as primary drivers for the Republican loss. Voters are questioning if housing and jobs remain affordable in regions traditionally marketed as "cheap."
11. **Assess Union & Welfare Trends:** Expect changes regarding labor laws; specifically monitor developments around right-to-work policies versus potential unionization efforts in Southern states where it was historically minimal.
12. **Prepare for 2028 Dynamics:** View the upcoming 2028 election as a critical test of whether this "blue wave" is permanent or fleeting, necessitating that both parties focus heavily on winning control of the South rather than leaving it as a foregone conclusion.

Full Transcript

Our colleague, Cam McWhorter, has been reporting on politics in the South for a while. I've been in this game a long time. So I've covered a lot of elections going back to the late 80s. And I've been in Georgia based in Atlanta since 2003. So I've covered Southern politics for a very, very long time. Where does this one rank in terms of interest for you? I'm still trying to process what happened. I mean, it is, it is tectonic. That doesn't mean it's permanent, but it's tectonic. And it is unbelievable what happened in this midterm election. It is a sweeping away of the Republican Party that has been dominating Southern politics the entire time that I've been down here. On election night, Cam was at Democratic Senator John Ossoff's watch party.

What was that like? Boystress, chaotic. People were screaming in the streets. There were cars honking. People were still very, very happy, but also stupefied at what had just happened. The thing that shocked Cam was that it wasn't just Ossoff. Democrat Keisha Lance Bottoms won the governor's race. It was just the slate. I mean, Secretary of State. Attorney General, Lieutenant Governor, Labor Commissioner, Agriculture Commissioner, down the line, Democrats chucked out the Republicans. Democrats won up and down the ballot in other southern states too, like Texas and North Carolina, and won a huge upset in South Carolina and possibly Mississippi, which is currently too close to call. Much of my political reporting over the years has been either Democrats getting bombed out of various positions across the South or desperately trying to win a race and then losing. And this was a complete wipeout for the Republicans. What does that mean for the South? Why is it such a big deal? Well, I think it has great ramifications for the South, but also incredible ramifications for the United States. This region was known as the Solid South. Generally, the South goes red. And that is something that strategists, Republican strategists have always counted on. And then they build from there. And the Democrats have always had sort of fantasies about cracking the Solid South. They just cracked it. Welcome to The Journal, our show about money, business, and power. I'm Kate Limbaugh.

It's Thursday, November 5th. Coming up on the show, how the South's red wall has started to fall. For decades, towns and cities in the South have become economic centers, and they've thrived. Think Houston, Dallas, Nashville, Atlanta, and Republicans who were in charge for much of this time took credit for that. For years, The standard Republican playbook for economic growth and that they could brag about and get re-elected in the South was, make it as easy for businesses to move here as possible and give them tax incentives, have low taxes when they get here, give them all kinds of breaks, work to set up worker training programs that were funded by the state nearby. It was a standard practice.

to bring business. All the states competed wildly with each other, so corporations loved it. And companies like moved their headquarters down. Oh, yeah. And there was a lot of benefit to do it. A lot of Atlanta's growth has been built on that. But beyond Atlanta, you have Nashville, Raleigh-Durham area, Greenville now. Like areas are booming, metro areas along across the South. And Texas. Yeah, Texas, of course. Texas is a whole nother beast. But yeah, the same model was adopted everywhere. And it's worked to great effect. You have low unemployment in a lot of these areas. For decades, the Republican strategy was just come on and business, come on in. How can we make it easy for you? Come on in. And this has powered the South to become the fastest growing region in the U.S. by population. Millions and millions of Americans have moved to the South.

over from California, from the North, from the Midwest. People in Nashville, long timers in Nashville, hate Californians now because there's so many of them. So it's really, you know, there's, you can drive, I've driven in Southern cities, including Nashville, where you drive down a street and you'll see Chicago Blackhawks flags and Cubs flags because the people have come from high-tech states in the North and come South. and they've landed a job. And the Republican pitch is, look how great it is down here. Our taxes are low, you can afford a home. Along with their sports teams, they also brought their politics. And there have been glimmers of hope for Democrats in the past, like when Obama won North Carolina in 2008, and Biden won Georgia in 2020. But so much of the sea change in the South this year started with a faltering of the region's economic prosperity, triggered by federal policies. I would say Donald Trump's policies regarding

tariffs, which really hit the agricultural community, which is a huge part of the South and a huge part of the Republican base. The Savannah Port is one of the busiest ports on the East Coast, shipping all kinds of agricultural products all over the world, and bringing in all kinds of products.

caused great chaos. And then, of course, the war in Iran drove up gas prices. And if you are in the rural South, you drive a truck and you got to fill that truck up. And you got to go far. Yeah, you got to go to a pretty good hall to go to the grocery store. And that is that is Republican America. And it got punched in the face. And, you know, I've been up in the Blue Ridge Mountains talking to people and They were not happy about what was happening. They weren't happy about the war in general, but they really weren't happy about their pocketbook. You know, you truckers, there's a lot of truckers in the South and they're using diesel, so they're destroyed. Okay, so the Democrats are having to go into hostile territory where they historically or in recent memory haven't gotten a lot of traction.

How did they pitch themselves? They were talking about affordability, cost of living, and moratorium on data centers. And it evolved. There was all this angst and turmoil in Michigan and New York over Democratic socialists or Democratic socialist leaning candidates. We didn't have that issue here. In the South, the Democrats ran on a very centrist platform. Look, Annie's not some crazy socialist. I'm a pediatrician. That's Democratic Senator-elect Annie Andrews from South Carolina with her dad. And here's James Tallarico, the new Senator-elect from Texas. I think what I'm advocating for is a return to those original capitalist principles that we've strayed away from in this country over the last five decades. So I followed Tisha Lance Bottoms on the stump, the gubernatorial candidate in Georgia, the Democrat.

went on a swing to the northern part of the state, which is redder than red. It is Marjorie Taylor Greene's old district. I remember we were in the town of Ringgold, which is a little town near the Tennessee border that has a huge Confederate flag as you enter the town. And I remember Ms. Bottoms talking to me and saying like, here we are in, you know, as a giant Confederate flag. Yeah, it's sort of a demonstration that she would go anywhere to win over votes. And there were Democrats there. And her

message was economic. She was talking about expanding Medicaid, working to lower costs for increasing education. She was talking about basic stuff. She wasn't talking about culture war issues at all. That county swung about 16 points toward the Democrats in the election. And that kind of swing played out around the South.

like in North Carolina. Roy Cooper in North Carolina had been the governor for eight years. He won the Senate race there. The Democrat took a Senate seat from the Republican Party and his whole thing was about affordability. I covered him in an area near Charlotte and his whole campaign was make stuff cost less. That was literally his, we're on the make stuff cost less tour. I want to make stuff cost less. So do you. And so did the people here in Greenville, North Carolina. And the Republicans never really had a good answer for that. And their Democrats just kept hammering that home. Something else became a political liability for Republicans. And that's AI data centers. Many southern states welcomed them, promising jobs and economic benefits. Data centers were part of this economic model that a lot of Republican state economic development people and governors would brag about like, hey, we're getting all these data centers down here and this farmland is now going to be, you know, there'll be a big investment here. And they thought that was just going to be fantastic. And Georgia certainly embraced it. And lo and behold, people in those rural areas, many of whom were hardcore Republicans and hardcore MAGA, suddenly said, whoa, wait a minute.

We don't want these. Was it strong Democratic candidates that did this, or weak Republican ones, or a mix of both? I think a little bit of both. And I also think that the atmosphere, the mood of the country was punished the people in power. And in the South, the Republicans have run everything. And so how did the Republicans approach these elections? For so many years in the South, Donald Trump was the ultimate asset. He was who you need. If you had him backing you, man, you had it. And there had to be this abject fealty to him. And we saw that blow up this year. Okay, but it's typical for a sitting president's party to lose ground in the midterms. But this was so much more than expected.

How are the Republicans digesting this? I mean, I think this is stupefying, and they don't know what to do. I talked to a Republican strategist the other day. He said, this is an ass kicking, and we deserve it. But he said, if we lose that voter, that working class, rural voter that has been so important to our victories, if we lose that person, We're just country clubs and big business and we'll never win. And that is what Donald Trump was the key that he unlocked was to bring all these voters in. The tremendous question that remains is how will the Democrats govern? And they haven't been governing forever in places like Texas and North Carolina and Georgia. That will contribute to whether this blue wave is fleeting.

or a permanent realignment. That's next. We're now looking at states across the South where you're going to have Democratic leadership. What is that going to do to day-to-day politics and policies? And how is it going to change the dynamics at the state level? It's going to change everything. For example, the data centers issue, Keisha Lance Bottoms promised a moratorium on new data centers in Georgia. which had a bunch going. So how is she going to implement that? You know, the Democrats control the state house and narrowly, narrowly almost took the state Senate. She wants to expand Medicaid, which the Republicans have resisted for years. But this is going to play out across the South. And so it's going to be a raucous time. And what the unraveling will mean for this huge economic playbook that I talked about, how the South has grown so much, how people are raising questions about affordability, which is really, that was the South's pitch for years was, we're cheaper. Come on down, buy a house, no problem. You'll get a job. And that worked really, really well. But people have started, a lot of voters have started to say, well, wait a minute, it's not that affordable down here. And they're feeling the pressure of, can I afford a house?

of rising cost of living. And this is going to echo and reverberate through politics throughout the South for years. How will this trickle into other policies like taxes and public benefits and right to work policies that keep unions out? I would accept two of those. I think the right to work status would be a tough one. Although there has been some unionization down here. Before I was in Georgia, I lived in Michigan. And I remember coming down and asking what the union role was in the politics of Georgia, and everyone just laughed at me, because there was no real powerful influence

of the unions down here. But I think there will be changes in terms of social safety net, in terms of providing people with, yeah, regarding wages. There's going to be, there is a shift underway, and the Democrats are already campaigning on these issues of expanding Medicaid. Like, that is something the Republicans have resisted. Is this the kind of political change that's gonna last? Or is it just a reaction to Trump's policies in this moment? That is a fantastic question that no one knows the answer to. I have been at this for a while, so I would say nothing's permanent. So...

The great question now is these Democrats in many cases to their own surprise are now in power and they are going to have to govern and voters are going to want to see results and they're going to want to see them pretty quickly. And if that doesn't work, who are they going to turn to? Now, the Republican Party is going to be there. But what answers are Republicans going to provide? So the Democrats have shown that, at least in 2026, they can get Southern voters to vote Democrat. Do you think that will make the Democratic Party overall change in some way? I think you're already seeing it. First of all, we have incredibly large black populations in a lot of these Southern states, Georgia, North Carolina, Mississippi.

They were awakened in this election and they came out in large numbers. We have huge diversity expanding in the South. We have massive increase in Hispanic populations. Texas is obviously the great example, but elsewhere we have Asian Americans coming in in large numbers. This is the fastest growing part of the United States and it's the most populous and it's definitely transforming the electorate. So Democrats should be looking at these candidates and seeing what they can teach the rest of the country for the Democratic Party. But it's a big, big, big coalition right now across the country of Democrats. And their main unifying factor has been Donald Trump and opposition to him. So what happens when he goes away? What will happen? What does a bluer south mean for 2028, for instance?

It means that the Republicans can't count on the South that they're going to have to fight for it massively. But it also means the Democrats are going to have to fight for it massively. So we're going to have to see what happens in the next two years, nationally and on the state level, as these Democrats move into power. We all can testify two years is a long time. And where are

we going to be in two years? But I would say all bets are off in terms of the South. And it is the place to fight for. So it's going to be the two parties battling for control of the South, which will determine who is the next president of the United States and how the federal government operates. This is the battleground for the future of America, basically. That's all for today, Thursday, November 5th. The Journal is a co-production of Spotify and the Wall Street Journal. Additional reporting in this episode by Paul Overberg.

Thanks for listening. See you tomorrow.